LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Overseas Acquisition Funding ?

LOAN BAZAR ONLINE

FINANCIAL PRODUCTS MASTERCLASS SERIES

INSTITUTIONAL WHITE PAPER & REFERENCE MANUAL

Developed by www.loanbazaaronline.com

Executive Summary & Masterclass Preface

Overseas Acquisition Funding represents a premier cross-border corporate finance mechanism utilized by expanding Indian enterprises to execute international mergers and acquisitions (M&A), acquire global strategic assets, secure proprietary technologies/intellectual property (IP), establish direct overseas market footholds, and consolidate international supply chains. In the modern era of cross-border corporate expansion, Indian companies frequently seek to acquire operational targets across Western Europe, North America, Southeast Asia, and GIFT City International Financial Services Centres (IFSC). However, executing an international corporate buyout involves navigating a complex matrix of foreign exchange regulations, corporate statutory restrictions, tax treaties, and cross-border credit underwriting frameworks.

A fundamental structural paradox defines the Indian corporate acquisition financing landscape: under the Reserve Bank of India (RBI) Master Circular on Loans and Advances, domestic Indian commercial banks are strictly prohibited from granting loans directly to corporate promoters or parent entities for purchasing corporate shares or executing equity buyouts of other companies. To overcome this statutory limitation while remaining fully compliant with Indian foreign exchange laws, corporate finance architects utilize sophisticated international funding structures. These include Overseas Special Purpose Vehicles (SPVs / HoldCos), Leveraged Buyout (LBO) ring-fencing, Standby Letter of Credit (SBLC) backed offshore credit facilities, Overseas Direct Investment (ODI) equity infusions under the Foreign Exchange Management (Overseas Investment) Rules and Regulations 2022/2026, and GIFT City IFSC transaction hubs.

This white paper reference manual serves as an exhaustive, institutionally rigorous guide designed to equip finance professionals, Chief Financial Officers (CFOs), corporate treasurers, investment bankers, and financial analysts with complete operational mastery over Overseas Acquisition Funding. From structural architecture and RBI ODI financial commitment caps to credit scorecards, security creation, WACC optimization, tax shield modeling, and post-acquisition integration, this manual provides the definitive framework for cross-border M&A debt structuring.

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Module 1: Product Overview & Strategic Core

1.1 Statutory Definition & Legal Taxonomy

Overseas Acquisition Funding refers to the structured financial accommodation—comprising offshore debt, equity capital, mezzanine debt, hybrid instruments, and credit-enhanced guarantees—provided to an Indian corporate entity or its designated foreign subsidiary (Overseas SPV / Wholly Owned Subsidiary - WOS / Joint Venture - JV) for the specific purpose of acquiring controlling equity stakes, business divisions, or operational assets of a foreign target entity located outside India or within an International Financial Services Centre (GIFT City IFSC).

Under the statutory framework governed by Section 6 and Section 47 of the Foreign Exchange Management Act, 1999 (FEMA), read alongside the Foreign Exchange Management (Overseas Investment) Rules, 2022 and Foreign Exchange Management (Overseas Investment) Regulations, 2022 (updated via RBI Master Directions 2026), overseas acquisitions are classified as **Overseas Direct Investment (ODI)** when the Indian entity acquires a 10% or greater equity stake with control in a foreign entity, or **Overseas Portfolio Investment (OPI)** when acquiring less than 10% without control.

1.2 Core Strategic Drivers for Indian Corporate Acquisitions

Indian corporates actively pursue overseas acquisitions to achieve strategic imperatives that cannot be realized solely through organic domestic growth:

1. **Inorganic Global Market Access & Customer Base Acquisition:** Acquiring an established foreign company provides immediate, friction-free access to international client portfolios, distribution networks, and regional market share in lucrative markets such as the United States, European Union, United Kingdom, and ASEAN economies.
2. **Intellectual Property & Technology Transfer:** Indian enterprises in sector-intensive industries (such as Pharmaceuticals, Auto Components, SaaS, Clean Tech, and Specialty Chemicals) utilize overseas acquisitions to absorb USFDA-approved formulations, proprietary patents, advanced manufacturing software, and specialized engineering capabilities.
3. **Global Supply Chain Control & Backward/Forward Integration:** Acquiring upstream raw material producers (e.g., overseas mines, chemical plants, agricultural aggregators) or downstream distribution channels insulates Indian parents against global supply chain disruptions and margin compression.
4. **Valuation Arbitrage & Margin Expansion:** Foreign target entities in mature markets frequently operate with higher gross margins and premium brand equity. Re-engineering target cost structures by shifting labor-intensive R&D or back-office processing to India generates massive operational synergies and unleashes enterprise value.

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1.3 The Core Structural Paradox: Domestic Banking Prohibition vs. Overseas Debt Architecture

The foundational challenge in financing an overseas buyout lies in the regulatory divergence between Indian domestic banking rules and international debt markets:

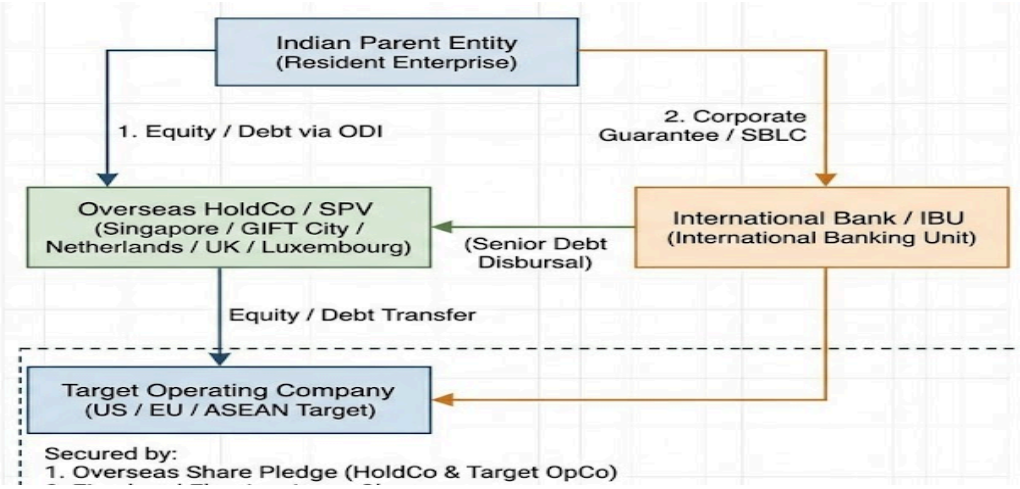
- **The Domestic Statutory Prohibition:** Section 20 of the Banking Regulation Act, 1949, and RBI Master Circulars on Advances strictly restrict Indian domestic commercial banks from granting advances against the security of corporate shares or issuing direct Rupee loans to corporate entities for purchasing equity shares of other companies. This rule prevents domestic banking liquidity from being deployed into speculative equity buyouts.
- **The Structured Overseas Solution:** While an Indian parent company cannot borrow Rupee loans domestically to buy target equity shares, Indian foreign exchange laws permit the Indian parent to make Overseas Direct Investment (ODI) equity/loan contributions into an Overseas Special Purpose Vehicle (SPV / HoldCo). Furthermore, international branches of Indian banks, foreign commercial banks, and GIFT City IFSC Banking Units (IBUs) are fully empowered to lend directly to the Overseas SPV or Target OpCo, secured by target company assets, cash flow escrows, overseas share pledges, and parent corporate guarantees/SBLCs.

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Module 2: Structural Architecture & Funding Mechanisms

2.1 Primary Structural Models for Overseas Acquisition

To execute an overseas buyout efficiently while optimizing capital costs and regulatory compliance, finance architects deploy five core structural models:



Model A: Direct Indian Parent ODI Investment (Equity / Shareholder Loan)

- **Mechanics:** The Indian parent company utilizes its internal accruals, domestic equity issuance proceeds, or permitted domestic cash reserves to fund an Overseas Direct Investment (ODI) directly into the target company or a wholly-owned overseas subsidiary.
- **Regulatory Cap:** Under the Automatic Route, the total **Financial Commitment** (FC) made by an Indian entity in all foreign entities combined cannot exceed **400% of the Indian entity's Net Worth** as per its latest audited balance sheet. Financial Commitment includes equity capital, loan contributions, 100% of performance guarantees, 100% of corporate guarantees, and 50% of performance guarantees issued by the Indian parent.

Model B: Overseas HoldCo / SPV Architecture (GIFT City, Singapore, Netherlands)

- **Mechanics:** The Indian parent incorporates a Special Purpose Vehicle (SPV / Intermediate HoldCo) in an internationally recognized financial jurisdiction—such as GIFT City IFSC (India), Singapore, the Netherlands, Luxembourg, or the United Kingdom. The Indian parent infuses a portion of equity into the HoldCo via the ODI route. The HoldCo then borrows senior acquisition debt from international banks, multilateral institutions, or GIFT City IBUs to fund the remaining purchase price.
- **Strategic Advantages:** Ring-fences the Indian parent's domestic balance sheet, optimizes cross-border dividend withholding taxes under Double Taxation Avoidance Agreements (DTAA), and provides a clean platform for secondary international debt syndication or future IPO exits.

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Model C: Standby Letter of Credit (SBLC) & Guarantee-Backed Offshore Facility

- **Mechanics:** An Indian domestic commercial bank issues a Standby Letter of Credit (SBLC) or Financial Guarantee on behalf of the Indian parent company to an international bank or overseas branch (e.g., SBI London, ICICI Bank UK, Barclays, HSBC). Based on the creditworthiness of the Indian bank's SBLC, the overseas bank disburses foreign currency debt (USD, EUR, GBP) directly to the Overseas SPV or Target Entity.
- **Financial Commitment Impact:** Under RBI ODI directions, the full face value of the corporate guarantee or SBLC issued by the Indian parent/bank is counted against the Indian parent's **400% Net Worth Financial Commitment cap**.

Model D: Non-Recourse / Limited-Recourse Leveraged Buyout (LBO) Ring-Fencing

- **Mechanics:** In large-scale corporate acquisitions, international private equity funds and syndicated banking consortia provide debt directly to the acquisition SPV, secured exclusively by the target company's assets, contracts, IP, and future operating cash flows.
- **Core Requirement:** Requires the target entity to possess exceptionally strong, predictable EBITDA, high interest coverage ratios (ICR > 3.0x), and robust cash flow conversion. The debt is ring-fenced without recourse to the Indian parent entity.

Model E: Hybrid Vendor Notes, Earn-Outs & Mezzanine Bridge Debt

- **Mechanics:** To bridge valuation gaps between the Indian buyer and foreign seller, the transaction structure incorporates deferred consideration mechanisms:
  - **Vendor Notes:** The seller agrees to accept a portion of the purchase price (10%–25%) as a subordinated loan repayable over 3–5 years at an agreed interest rate.
  - **Earn-out Structures:** Additional purchase consideration is made contingent upon the target achieving pre-agreed financial milestones (EBITDA / Revenue targets) post-acquisition.
  - **Mezzanine Debt:** Subordinated debt holding equity conversion warrants, filling the gap between senior bank debt and equity capital.

2.2 Statutory Compliance & RBI ODI Regulatory Workflow

Every overseas acquisition funded from India must comply strictly with the Foreign Exchange Management (Overseas Investment) Rules and Regulations:

1. **Financial Commitment Cap Check:** The Indian parent must compute its total Financial Commitment across all foreign entities to ensure the proposed transaction value, when combined with existing foreign investments and guarantees, does not exceed **400% of Net Worth** (defined as Paid-up Capital + Free Reserves + Securities Premium - Accumulated Losses).
2. **Valuation Mandate:**
   - For acquisitions of existing foreign shares, a valuation report must be obtained from an independent Registered Valuer / Category-I Merchant Banker in India, or an

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internationally recognized investment bank / certified public accountant in the host jurisdiction.

- Ensures the acquisition price represents fair market value and prevents illegal capital flight.

3. **NOC Requirement for Stressed Entities:** If the Indian parent or its promoters/directors are classified as Special Mention Account (SMA-2), Non-Performing Asset (NPA), Wilful Defaulter, or are under investigation by SEBI/ED/SFIO, a formal No Objection Certificate (NOC) must be obtained from all domestic lending banks/creditors before executing the ODI remittance.
4. **Form FC Filing & UIN Allocation:** All remittances, guarantee issuances, and share acquisitions must be reported through an Authorised Dealer Category-I (AD Cat-I) bank via **Form FC** on the RBI's Foreign Investment Reporting and Management System (**FIRMS**) portal within 30 days of the transaction. The RBI assigns a **Unique Identification Number (UIN)** to the foreign JV/WOS, which must be quoted in all future cross-border communications.

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Module 3: Comparative Capital Architecture Matrix

To evaluate where Overseas Acquisition Funding stands within the corporate debt landscape, the following comparative matrix contrasts Overseas SPV Acquisition Debt against Direct Indian External Commercial Borrowings (ECB), Domestic Rupee Term Loans, and Cross-Border Mezzanine/Private Debt:

3.1 Comprehensive Structural Comparison

Structural Parameter	Overseas Acquisition Funding (SPV / LBO Debt)	Direct Indian ECB (Foreign Currency Loan)	Domestic Rupee Term Loan	Cross-Border Mezzanine / Private Debt
Primary Borrower Entity	Overseas HoldCo / SPV / Target Operating Company	Resident Indian Parent Entity	Resident Indian Parent Entity	Overseas SPV / Intermediate HoldCo
Permissible Use of Proceeds	Equity buyout of foreign target, asset acquisition, debt refinancing	Real sector capex in India, factory expansion, R&D	Domestic capex, working capital, domestic asset buyouts	Bridge equity funding, growth capex, vendor note payouts
Prohibited Uses	Stock market speculation in India, domestic real estate trading	Equity investment in Indian companies, stock trading, land buying	Direct stock acquisition / promoter funding (Banking Act Sec 20)	Unregulated real estate trading, speculative trading
Primary Collateral Base	Target OpCo shares, target physical/IP assets, target cash flows	Indian parent physical assets, factory land, machinery	Indian parent land, building, plant & machinery, cash credit	Subordinated target share pledge, second-charge on cash flows
LTV / Leverage Ceilings	65% – 75% of Target Enterprise Value (EV)	Debt-to-Equity guidelines, max USD 750M/year auto-route	65% – 75% of domestic hard asset appraisal value	75% – 85% combined Senior + Subordinated LTV
Target Debt/EBITDA Ratio	3.0x – 4.5x Target Consolidated EBITDA	2.5x – 3.5x Indian Parent Leverage	2.5x – 3.5x Indian Parent Leverage	4.5x – 6.0x Combined Debt/EBITDA
Indicative Pricing Spread	Term SOFR / €STR + 250 to 450 bps p.a.	Benchmark SOFR + 200 to 450 bps p.a.	Domestic EBLR / MCLR + 150 to 350 bps	12.0% – 16.0% p.a. Internal Rate of Return (IRR)

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Structural Parameter	Overseas Acquisition Funding (SPV / LBO Debt)	Direct Indian ECB (Foreign Currency Loan)	Domestic Rupee Term Loan	Cross-Border Mezzanine / Private Debt
			(8.5%–11.5% p.a.)	
Regulatory Cap / Limit	400% of Indian Parent Net Worth (ODI Financial Commitment)	USD 750 Million per FY under Automatic Route	Single/Group Borrower Exposure Limits (RBI Framework)	Counted under 400% Net Worth Financial Commitment cap
Target Repayment Tenure	5 to 7 Years (1–2 Year Principal Moratorium)	Minimum 3 to 5 Years (MAMP requirement)	5 to 10 Years Amortizing Term Loan	3 to 5 Years Bullet Repayment or Mandatory Conversion
Regulatory Reporting	Form FC on FIRMS Portal within 30 days; Annual APR	Form ECB to RBI for LRN; Monthly Form ECB-2	Standard CIBIL / CRILC monthly reporting	Form FC on FIRMS Portal; RBI ODI disclosures

3.2 Strategic Analytical Takeaways

- **Bypassing the Stock Acquisition Bar:** While domestic Rupee term loans are strictly legally barred from funding equity share purchases under Indian banking regulations, Overseas SPV Acquisition Debt legally enables the corporate group to acquire 100% equity control of overseas targets using international banking capital.
- **Balance Sheet De-leveraging:** By structuring debt at the Overseas HoldCo or Target OpCo level (LBO structure), the debt is serviced directly by target operating cash flows, preserving the Indian parent entity's domestic credit rating and borrowing capacity for domestic expansion.
- **Significant Capital Cost Arbitrage:** Borrowing foreign currency debt at Term SOFR + 250–450 bps (effective interest rate of 7.0%–9.0% p.a. in USD/EUR) yields a substantial interest cost advantage over domestic Rupee loans (9.5%–12.0% p.a.), particularly when the target operating revenues are naturally denominated in foreign currency (USD/EUR).

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Module 4: Underwriting Framework, Credit Sizing, Risk Scorecards & Pricing Mechanics

4.1 Credit Sizing Framework & Financial Metrics

Underwriting an overseas acquisition facility requires international commercial banks and GIFT City IBUs to evaluate both the standalone financial health of the target foreign enterprise and the balance sheet strength of the Indian parent sponsor.

Key Sizing Ratios & Thresholds

1. **Target Enterprise Value (EV) & LTV Cap:**

   $$extMaximumSeniorDebt = extTargetEVimesextLTVCeiling(65\%to75\%)$$

   The remaining 25% to 35% of the purchase price must be contributed as equity via Overseas Direct Investment (ODI) by the Indian parent or co-investment equity partners.

2. **Leverage Sizing (Debt-to-EBITDA Multiples):**

$$extTotalAcquisitionDebt \leq 3.5xextto4.5ximesextTargetLTMHistorical/NormalizedEBITDA$$

   For technology and software assets with high recurring SaaS revenue, underwriters may evaluate Debt-to-ARR (Annual Recurring Revenue) capped at 1.5x to 2.5x ARR.

3. **Debt Service Coverage Ratio (DSCR):**

$$extConsolidatedDSCR = racextTargetOperatingFreeCashFlow(EBITDA - Taxes - MaintenanceCapEx)extA$$

   A minimum DSCR buffer of 1.35x ensures the target enterprise can fully service its debt obligations even during economic downturns or operational restructuring phases.

4. **Interest Coverage Ratio (ICR):**

   $$extICR = racextTargetOperatingEBITextGrossAnnualInterestExpense \geq 2.50x$$

5. **Indian Parent Financial Commitment Cap Audit:**

$$extTotalFC = extExistingForeignEquity + extExistingForeignLoans + extCorporate/SBLCGuarantees + e$$

4.2 Comprehensive Credit Risk Scorecard

International underwriters utilize a multi-dimensional risk scorecard to grade overseas acquisition proposals:

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┌──────────────────────────────────────────────────────────────────────────────┐
│                  OVERSEAS ACQUISITION CREDIT RISK SCORECARD                   │
├──────────────────────────────────┬──────────┬────────────────────────────────┤
│ Risk Dimension                   │ Weight   │ Key Evaluation Parameters      │
├──────────────────────────────────┼──────────┼────────────────────────────────┤
```

1. Target Historical Cash Flow Quality	25%	3-Yr Audited Revenue/EBITDA, Working Capital Velocity, FCF
2. Indian Parent Sponsor Creditworthiness	25%	Net Worth, CIBIL/CMR Score, Domestic Leverage (Debt/EBITDA)
3. M&A Synergy & Integration Feasibility	20%	Cost Synergies, Management Retention, Cross-selling Plan
4. Collateral & Security Coverage	15%	Share Pledge Quality, Asset Hypothecation, SBLC/Guarantee
5. Host Jurisdiction & Macroeconomic Stability	15%	Sovereign Rating, FX Volatility, Legal Enforceability / DTAA

Credit Grading Scale

- **Grade AAA / AA (Score 85–100):** Prime Tier-1 borrower; Target EBITDA > $10M; Parent Net Worth > ₹500 Cr; DSCR > 1.8x.
- **Grade A / BBB (Score 70–84):** Standard Investment Grade; Target EBITDA $3M–$10M; Parent Net Worth ₹100 Cr–₹500 Cr; DSCR 1.35x–1.79x.
- **Grade BB & Below (Score < 70):** Sub-investment grade; requires 100% SBLC cash backing or higher equity down payment (> 40%).

4.3 Commercial Pricing Architecture

The all-in borrowing cost of an Overseas Acquisition Facility is structured as a floating rate benchmark plus a risk spread, along with structured transaction fees:

$$extAll - InBorrowingCost = extBenchmarkRate(TermSOFR/€STR) + extCreditRiskSpread + extSBLCGuar$$

1. **Benchmark Reference Rates:**
   - **USD Transactions:** Secured Overnight Financing Rate (Term SOFR - 1 Month / 3 Month), currently ~5.00% p.a.
   - **EUR Transactions:** Euro Short-Term Rate (€STR) / EURIBOR, currently ~3.25% p.a.
2. **Credit Risk Spread:** Ranging from 250 bps to 450 bps p.a. based on target credit grade, leverage levels, and host country risk.

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3. **SBLC / Corporate Guarantee Commission:** If an Indian domestic bank issues an SBLC to back the offshore loan, the domestic bank charges an annual SBLC commission of 0.75% to 1.50% p.a. on the guaranteed amount.
4. **Upfront Arrangement & Syndication Fees:** 1.00% to 2.00% of total facility sanction value, paid to Mandated Lead Arrangers (MLAs).

Module 5: Security Architecture, Documentation & Legal Covenants

Executing a cross-border acquisition facility requires constructing a multi-jurisdictional security package that protects international lenders across both Indian and foreign legal jurisdictions.

5.1 Primary & Secondary Security Structure

International underwriters establish a layered security package structured around physical assets, equity shares, cash flows, and corporate guarantees:

CROSS-BORDER ACQUISITION SECURITY PACKAGE	
Security Layer	**Description & Legal Mechanism**
1. Overseas Share Pledge	100% pledge of equity shares of Overseas HoldCo & Target OpCo (Sec 172/176 equivalent)
2. Asset Hypothecation & Fixed Charges	First fixed & floating charge on Target plant, machinery, IP, land, & inventory
3. Cash Flow Escrow (TRA)	Hypothecation of Target bank accounts & Trust and Retention Account (TRA) sweeps
4. Parent Credit Support	Unconditional Corporate Guarantee / SBLC issued by Indian Parent (within 400% FC)
5. Sponsor Undertakings	Non-Disposal Undertaking (NDU) & Mandatory Dividend Up-Streaming Covenant

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1. Overseas Share Pledge (HoldCo & Target OpCo)

- **Mechanics:** The Indian parent and Overseas HoldCo execute a formal Share Pledge Agreement pledging 100% of the issued equity shares of the Overseas HoldCo and Target Operating Company in favor of the Security Trustee.
- **Enforceability:** In the event of a default, the Security Trustee can exercise out-of-court foreclosure rights under local host country laws (e.g., UCC Article 9 in the US, Law of Property Act in the UK, or Singapore Companies Act) to sell or take over the shares without protracted litigation.

2. Fixed and Floating Asset Charges (Target Physical & Intangible Assets)

- **Fixed Charge:** Created over specific, identifiable physical assets of the target company—including manufacturing plants, real estate, specialized machinery, patents, trademarks, and domain names.
- **Floating Charge:** Covers dynamic operational assets, such as inventory, raw material stock, work-in-progress, and trade receivables. The floating charge crystallizes into a fixed charge upon the occurrence of an Event of Default.

3. Trust & Retention Escrow Account (TRA) & Cash Sweeps

- **Mechanics:** All operating revenues generated by the target operating entity are swept directly into a designated Trust & Retention Account (TRA) managed by the Facility Agent Bank.
- **Payment Waterfall:** The TRA agreement enforces a strict statutory cash priority waterfall:
    1. Statutory Taxes & Host Government Levies
    2. Target Essential Operating Expenses (OPEX & Plant Utility Expenses)
    3. Senior Debt Interest & Principal Servicing
    4. Mandatory Cash Sweep Buffer Reserve (Debt Service Reserve Account - DSRA equivalent to 1–2 quarters of interest)
    5. Surplus Cash Distribution to Overseas HoldCo / Indian Parent Equity Holders.

4. Indian Parent Corporate Guarantee & SBLC Support

- **Unconditional Corporate Guarantee:** The Indian parent enterprise executes a Deed of Guarantee undertaking to unconditionally pay any defaulted interest or principal obligations of the Overseas SPV.
- **Standby Letter of Credit (SBLC):** An Indian AD Cat-I bank issues an SBLC backing the offshore facility.

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- **Statutory Limit Check:** Under Section 47 of FEMA and RBI ODI directions, corporate guarantees and SBLCs issued by Indian parents count 100% towards the **400% Net Worth Financial Commitment limit**.

5.2 Mandatory Legal Filings & Statutory Registration

To ensure absolute legal perfection of security charges across international borders:

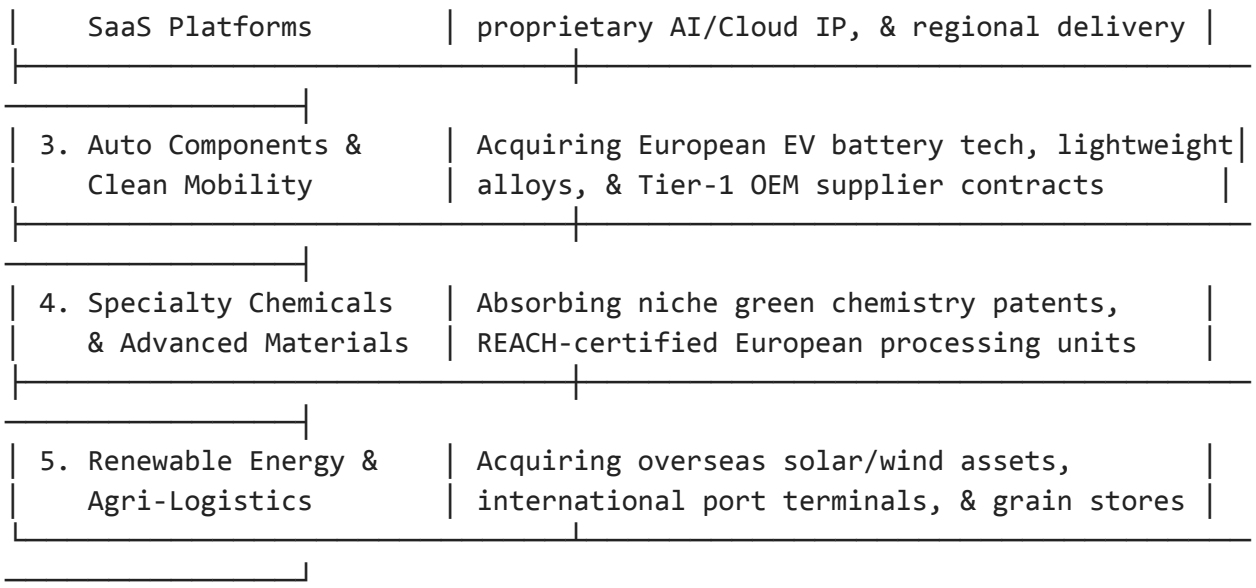
1. **Form FC Filing on RBI FIRMS Portal:** Must be submitted through the AD Cat-I bank within **30 days** of executing any corporate guarantee, SBLC, share pledge, or loan remittance under the ODI framework.
2. **ROC Form CHG-1 Filing (Companies Act, 2013):** Under Section 77 of the Indian Companies Act, 2013, any corporate guarantee, SBLC, or charge created by an Indian parent company on its domestic assets to secure foreign borrowing must be registered with the Registrar of Companies (ROC) within **30 days** of creation. Failure to register renders the charge void against liquidators and domestic creditors.
3. **CERSAI Registration:** Guarantees and security interests created by Indian entities must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within **30 days**.
4. **Overseas Registry Filings:** In host jurisdictions, charges must be registered with local authorities (e.g., Companies House in the UK, ACRA in Singapore, or Secretary of State UCC filings in the US).

Module 6: Suitable Industries, Business Profiles & Market Alignment

6.1 Industry Sectors Best Suited for Overseas Acquisition Funding

Overseas Acquisition Funding is particularly prominent in high-growth, technology-intensive, and export-driven industry verticals:

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│                HIGH-POTENTIAL OVERSEAS ACQUISITION SECTORS                               │
├──────────────────────────────┬──────────────────────────────────────────────────────────┤
│ Industry Vertical            │ Strategic Acquisition Imperative                         │
├──────────────────────────────┼──────────────────────────────────────────────────────────┤
│ 1. Pharmaceuticals &         │ Acquiring USFDA/EMA-approved manufacturing               │
│    Bio-Technology            │ plants, specialized API R&D, & generic portfolios        │
├──────────────────────────────┼──────────────────────────────────────────────────────────┤
│ 2. Information Tech &        │ Acquiring US/European enterprise clients,                │
```



1. **Pharmaceuticals, Life Sciences & Healthcare:**
   - **Driver:** Indian pharma leaders acquire US or European contract development and manufacturing organizations (CDMOs) or sterile injectable facilities to bypass lengthy greenfield USFDA inspection queues and secure immediate ANDA (Abbreviated New Drug Application) approvals.
2. **Information Technology, Software & Enterprise SaaS:**
   - **Driver:** Indian IT services giants and mid-market SaaS platforms acquire North American and European digital transformation agencies to gain enterprise accounts, local client-facing consulting talent, and higher billing rates.
3. **Automotive Components, EV Mobility & Precision Engineering:**
   - **Driver:** Tier-1 auto component manufacturers acquire European precision forging, EV battery management, and lightweight aluminum stamping suppliers to integrate into global OEM supply chains (such as BMW, Volkswagen, and Tesla).
4. **Specialty Chemicals, Agri-Inputs & Advanced Materials:**
   - **Driver:** Acquiring European specialty chemical plants provides access to REACH-compliant formulations, proprietary catalysts, and high-margin B2B customer contracts.

6.2 Market Footprint & Borrower Eligibility Profile

While national commercial credit metrics show that retail traders and MSMEs represent 44% of total active commercial credit accounts in India for domestic working capital (< ₹2 Crores), the target profile for Overseas Acquisition Funding consists of mature, growth-oriented enterprises:

- **Minimum Net Worth:** Indian parent entity Net Worth () ₹50 Crores (to support a minimum $10M to $50M acquisition limit under the 400% Financial Commitment rule).

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- **Track Record:** Minimum 3 years of audited profitable domestic operations.
- **Management Capacity:** Demonstrated corporate governance and experienced M&A integration teams capable of managing cross-border labor laws, foreign regulatory compliance, and currency risks.
- **Credit Rating / Score:** Indian parent domestic credit rating of **A- / BBB+ or higher**, CIBIL Commercial Rank (CMR) between **CMR 1 and CMR 3**, and individual promoter credit scores exceeding **720**.

Module 7: Commercial Pricing Mechanics, WACC & Interest Tax Shields

Optimizing the capital structure of an overseas acquisition requires a rigorous financial model that evaluates Weighted Average Cost of Capital (WACC), cross-border tax shields, and Double Taxation Avoidance Agreement (DTAA) benefits.

7.1 WACC Optimization & Cost of Capital Arbitrage

By substituting high-cost domestic Rupee debt or pure equity funding with structured overseas acquisition debt, corporate treasurers significantly optimize the combined group WACC.

The Blended WACC Formula

$$extWACC = (racEVimesK_{e}ight) + (racD_{extdom}VimesK_{d,extdom}imes\left(1 - T_{extdom}\right)ight) + (racD_{extoff}VimesK_{d,extoff}imes\left(1 - T_{exthost}\right)ight)$$

Where: * E/V = Proportion of Equity Capital in total transaction value * K_{e} = Cost of Equity Capital (typically 15.0% to 18.0% expected by promoters/PE) * D_{extdom}/V = Proportion of Domestic Rupee Debt * $K_{d,extdom}$ = Pre-tax Cost of Domestic Rupee Debt (9.50% to 11.50% p.a.) * D_{extoff}/V = Proportion of Overseas Acquisition Debt * $K_{d,extoff}$ = Pre-tax All-In Cost of Offshore Acquisition Debt (Term SOFR + Spread = 7.00% to 8.50% p.a.) * $T_{exthost}$ = Corporate Tax Rate in Target Host Jurisdiction (e.g., 25% to 30%)

Capital Arbitrage Impact

Because offshore debt denominated in USD or EUR carries a nominal interest benchmark (SOFR ~5.0% or €STR ~3.25%) that reflects lower international inflation expectations, borrowing offshore at an all-in rate

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of 7.25% p.a. reduces the pre-tax interest burden by **250 to 450 basis points** compared to domestic Rupee borrowing (10.50%–11.50% p.a.).

7.2 Interest Tax Shields & DTAA Structuring

CROSS-BORDER TAX SHIELD & DTAA ARCHITECTURE	
Tax Metric / Code	**Strategic Financial Benefit**
1. Section 36(1)(iii) Deductibility (Income Tax Act)	Pre-tax interest paid on acquisition debt is 100% tax-deductible against target/ parent income, creating a ~25.17% shield
2. DTAA Dividend Withholding Tax Optimization	Structuring HoldCo in Singapore/ Netherlands caps dividend withholding tax at 5%–10% (vs 20% standard rate)
3. Ind AS 103 Purchase Price Allocation (PPA)	Allocating purchase price to identifiable intangible assets allows tax-deductible annual asset amortization write-offs

1. **Section 36(1)(iii) Tax Shield:** Under Section 36(1)(iii) of the Indian Income Tax Act, 1961 (and equivalent host country tax codes), interest paid on capital borrowed for business expansion or acquiring operating assets is a 100% tax-deductible expense. At a corporate tax rate of 25.168% (inclusive of surcharge and cess), every ₹1,00,00,000 of interest paid generates **₹25,16,800 in direct tax savings**.
2. **Double Taxation Avoidance Agreement (DTAA) Benefits:**
   - Dividends remitted from the foreign Target OpCo to the Indian Parent or Overseas HoldCo are subject to host country withholding taxes.
   - By routing the acquisition through a HoldCo jurisdiction that enjoys a favorable DTAA with the target host country (e.g., Singapore-US DTAA or Netherlands-EU DTAA), dividend withholding tax is reduced from the standard 20%–30% down to **5%–10%**.
3. **Ind AS 103 Accounting & Goodwill Amortization:** Under Ind AS 103 (Business Combinations), the excess purchase price paid over target net identifiable assets is allocated to identifiable intangibles (patents, customer relationships, brand equity) and goodwill. Amortization or

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tax-deductible write-offs of identifiable intangibles under local host country tax laws generate substantial cash tax savings post-acquisition.

Module 8: Regulatory Compliance, RBI Directions & Post-Acquisition Integration

8.1 Key RBI Regulatory Mandates & Post-Transaction Reporting

1. Form FC Filing & UIN Generation

Within **30 days** of making any financial commitment (remittance, SBLC issuance, or corporate guarantee execution), the Indian parent must submit **Form FC** along with the Registered Valuer's valuation certificate, board resolutions, and statutory auditor certificates through its AD Cat-I bank on the RBI FIRMS portal. The RBI issues a Unique Identification Number (UIN) for the foreign JV/WOS.

2. Annual Performance Report (APR) Mandate

The Indian parent must submit an **Annual Performance Report (APR)** in Form APR through its AD Cat-I bank by **December 31** every year for each foreign entity. The APR must include: * Audited financial statements of the foreign JV/WOS. * Details of operational performance, turnover, net profit, and net worth. * Details of capital structure changes, guarantee renewals, and dividend repatriations.

3. Strict Prohibition of Round-Tripping (Structure 22)

Under the Foreign Exchange Management (Overseas Investment) Rules, 2022, an Indian entity is strictly prohibited from making an Overseas Direct Investment (ODI) in a foreign entity that has existing investments or subsequently invests back into India, resulting in a structure with more than **two layers of subsidiaries** (commonly known as the Round-Tripping Rule). This rule prevents domestic funds from being routed offshore and brought back to evade Indian taxes or manipulate stock prices.

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4. Mandatory Repatriation & Disinvestment Timelines

- **Dividend & Sale Proceeds:** Any dividend declared by the foreign target, or capital proceeds realized upon disinvestment/sale of foreign shares, must be repatriated to India within **90 days** from the date of declaration/realization.
- **Guarantee Extinguishment:** Upon full repayment of the offshore acquisition loan, the corporate guarantee or SBLC issued by the Indian parent/bank must be formally cancelled and reported to the RBI to restore the parent's Financial Commitment capacity.

8.2 Post-Acquisition Integration & Operational Risk Management

Successful acquisition funding extends beyond financial closing to encompass post-merger integration (PMI):

1. **Working Capital Realignment:** Harmonizing the foreign target's working capital cycle with the Indian parent's global procurement framework, using supply chain finance and TReDS/receivable discounting platforms.
2. **Cultural & Management Retention:** Retaining core target R&D, engineering, and sales executives through performance-linked earn-outs and Phantom Stock / ESOP plans.
3. **Currency Risk Hedging:** Implementing derivative overlay strategies (Forward Contracts, Cross-Currency Swaps) to hedge foreign currency dividend streams or loan repayments against INR volatility.

Module 9: Comprehensive Real-World Case Study (Mumbai Global Pharma & Bio-Tech Ltd.)

To illustrate the mathematical mechanics, structural execution, and financial wealth creation of Overseas Acquisition Funding, this module presents an institutional case study comparing a domestic high-cost acquisition structure against a structured overseas LBO & SBLC-backed acquisition facility.

9.1 Profile of the Enterprise & Target Acquisition

- **Acquiring Sponsor Enterprise:** *Mumbai Global Pharma & Bio-Tech Ltd. (MGPBL)*, a publicly listed Indian pharmaceutical manufacturer specializing in generic active pharmaceutical ingredients (APIs) and solid oral dosages.
  - **Indian Parent Net Worth: ₹500.00 Crores** (Paid-up Capital ₹100 Cr + Free Reserves ₹400 Cr).
  - **Maximum Permissible Financial Commitment (400% Limit):** $ ext{₹500.00 Crores} imes 400% = $ (USD $240 Million).
  - **Domestic Credit Rating: A+ / Positive**; CIBIL Commercial Rank: **CMR 2**.
- **Target Overseas Acquisition Enterprise:** *Bavaria Bio-Pharma GmbH*, a high-tech European contract development and manufacturing organization (CDMO) based in Munich, Germany, operating USFDA-approved sterile injectable manufacturing lines.
  - **Target Purchase Enterprise Value (EV): €44.44 Million (₹400.00 Crores)** at an exchange rate of EUR/INR = 90.00.

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- **Target Historical LTM EBITDA: €8.00 Million (₹72.00 Crores)** (EV/EBITDA multiple = 5.55x).
- **Target Existing Debt: €0.00** (Debt-free acquisition target).

9.2 Financial Comparison: Domestic High-Cost Debt vs. Structured Overseas LBO Facility

MGPBL's corporate finance committee evaluated two competing capital structures over a 5-year operating horizon:

FINANCIAL COMPARISON OF ACQUISITION STRUCTURES		
Financial Metric	Pathway A (Domestic High-Cost Debt)	Pathway B (Structured Overseas LBO & SBLC Facility)
Total Enterprise Value (EV)	₹400.00 Crores	₹400.00 Crores
Parent Equity Margin Required (% of Purchase Price)	₹200.00 Crores (50.0% Equity)	₹100.00 Crores (25.0% ODI Equity)
Parent Cash Preserved vs Pathway A	₹0.00 (Heavy Lockup)	+₹100.00 Crores (Liquid Equity Saved)
Debt Facility Sized (% LTV)	₹200.00 Crores (50.0% LTV)	₹300.00 Crores (€33.33M / 75.0% LTV)
All-In Borrowing Cost (p.a.)	15.50% p.a. (Domestic Mezz)	7.25% p.a. (€STR + Spread + SBLC)
Principal Repayment Terms	Straight 5-Year Amortization	2-Yr Moratorium; Y3-Y5 Amortization
Year-1 Cash Debt Servicing (Principal + Interest)	₹71.00 Crores	₹21.75 Crores (Slashed by 69.4%!)

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Year-1 Target DSCR	1.15x (Marginal)	2.25x (Prime Rating)
5-Year Cumulative Pre-Tax Interest Outflow	₹93.00 Crores	₹87.00 Crores (Direct Interest Saved)
Section 36(1)(iii) Tax Shield (@ 25.168% Tax Rate)	-₹23.41 Crores	-21.90 Crores
Post-Tax ROCE Profits Earned on Preserved Equity (@ 16%)	₹0.00	+₹59.86 Crores (Income Generated)
NET FINANCIAL WEALTH SURPLUS GENERATED OVER 5 YEARS	Baseline	+₹113.88 CRORES (+₹113,88,42,500.00)

Detailed Mathematical Breakdown of Pathway B

1. **Equity Capital Preserved:** By securing a 75% LTV Senior Acquisition Facility (€33.33 Million / ₹300 Crores) at the Overseas SPV level, MGPBL reduces its required equity cash contribution from ₹200 Crores down to **₹100 Crores** (€11.11 Million), preserving **₹100.00 Crores in liquid equity** within the Indian parent balance sheet.
2. **Year-1 Liquidity Relief & Moratorium Advantage:**
   - **Pathway A:** Requires annual principal repayments of ₹40.00 Crores + Year-1 interest of ₹31.00 Crores = **₹71.00 Crores cash outflow**, resulting in a marginal Year-1 DSCR of **1.15x**.
   - **Pathway B:** Incorporates a 2-year principal grace period (moratorium). Year-1 cash outflow is limited to interest only (€33.33M × 7.25% = €2.416M / **₹21.75 Crores**). Year-1 DSCR improves dramatically to **2.25x** ($ ext{₹49.00 Cr Net FCF} / ext{₹21.75 Cr Debt Service}$).
3. **Post-Tax ROCE Income Generation:** The ₹100.00 Crores of equity preserved by MGPBL is deployed into high-margin domestic API expansion earning a pre-tax Return on Capital Employed (ROCE) of 16.00% p.a.

$$ext5 - YearGrossROCEProfits = ext₹100.00Croresimes16.00\%imes5extYears = ext₹80.00Crores$$

$$extPost - TaxROCEIncome(@25.168\%Tax) = ext₹80.00Croresimes(1 - 0.25168) =+ ext₹59.86Crores$$

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4. **Net Financial Wealth Surplus Calculation:**

$$ext{NetWealthSurplus} = ext{Post} - \text{TaxROCEIncome}(ext + ₹59.86Cr) + ext{CumulativeInterestSavings}(ext$$

Module 10: Professional Certification Examination & Detailed Rationales

This module contains 10 institutional-grade examination questions designed to test complete candidate mastery over Overseas Acquisition Funding mechanics, statutory rules, valuation mandates, and credit underwriting.

Examination Questions

Question 1

Under the RBI Master Directions on Overseas Direct Investment (ODI) 2022/2026, what is the maximum statutory ceiling on total Financial Commitment (FC) that a resident Indian entity can make in foreign

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entities under the Automatic Route? A) 100% of the Indian entity's Paid-up Share Capital B) 200% of the Indian entity's Free Reserves and Securities Premium C) 400% of the Indian entity's Net Worth as per its latest audited balance sheet D) Unlimited, subject to approval from the Ministry of Corporate Affairs

Question 2

Under Section 20 of the Indian Banking Regulation Act, 1949 and RBI Master Circulars on Advances, why can an Indian parent entity NOT obtain a standard Rupee term loan from a domestic Indian commercial bank branch to directly purchase 100% equity shares of a foreign target company? A) Indian domestic banks are prohibited from holding foreign currency reserves. B) Domestic banks are strictly legally barred from granting advances for purchasing corporate equity shares or funding corporate stock acquisitions. C) Foreign exchange regulations prohibit any Indian entity from owning foreign equity. D) Rupee loans cannot be remitted across international borders under any circumstances.

Question 3

An Indian parent entity with a Net Worth of ₹200 Crores has existing foreign equity investments of ₹150 Crores and an outstanding corporate guarantee of ₹250 Crores issued on behalf of its overseas subsidiary. What is the maximum additional Financial Commitment the parent can make under the Automatic Route? A) ₹400 Crores B) ₹800 Crores C) ₹400 Crores minus ₹400 Crores existing = ₹0.00 (Limit fully exhausted) D) ₹200 Crores

Question 4

When an Indian parent entity executes an overseas acquisition involving the purchase of equity shares in an existing operating foreign company, what statutory valuation document is mandatory under RBI ODI directions? A) A self-certified valuation estimate signed by the Chief Financial Officer. B) A valuation report issued by an independent IBBI Registered Valuer or Category-I Merchant Banker in India, or a certified public accountant / investment bank in the host jurisdiction. C) A tax clearance certificate issued by the Indian Income Tax Department. D) A credit rating certificate issued by a SEBI-registered rating agency.

Question 5

Under the Indian Companies Act, 2013 (Section 77), within how many days must an Indian parent company register a charge (ROC Form CHG-1) when it pledges domestic assets or provides a corporate guarantee to secure an offshore acquisition facility? A) 15 Days B) 30 Days C) 60 Days D) 90 Days

Question 6

Which regulatory filing must be submitted through an Authorised Dealer Category-I bank on the RBI FIRMS portal within 30 days of executing an overseas acquisition remittance or corporate guarantee? A) Form ECB B) Form FC C) Form ODI-2 D) Form FLAIR

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Question 7

In a structured overseas acquisition facility using a Trust & Retention Account (TRA), which payment obligation receives HIGHEST statutory priority in the cash flow waterfall? A) Senior Debt Principal Repayment B) Surplus Dividend Distribution to Indian Parent Equity Holders C) Statutory Taxes and Host Government Levies D) Debt Service Reserve Account (DSRA) Replenishment

Question 8

What is the “Round-Tripping” restriction (Structure 22) under the Foreign Exchange Management (Overseas Investment) Rules, 2022? A) A rule prohibiting the foreign target from exporting goods back to India. B) A rule prohibiting an Indian entity from investing in a foreign entity that has existing investments or subsequently invests back into India resulting in more than two layers of subsidiaries. C) A rule requiring foreign currency loans to be converted into Indian Rupees within 24 hours. D) A rule capping foreign acquisition debt interest rates at 5.0% p.a.

Question 9

How does structuring an overseas acquisition debt facility at an Overseas SPV level at an all-in cost of Term SOFR + 250 bps (7.50% p.a.) generate a tax shield benefit under Section 36(1)(iii) of the Income Tax Act? A) Pre-tax interest expense reduces taxable operating profits, generating a ~25.17% cash tax shield. B) Interest paid to foreign banks is completely exempt from income tax audits. C) The Indian government provides a 50% cash subsidy on foreign interest payments. D) Offshore interest payments can be offset directly against personal promoter income tax liabilities.

Question 10

By what date must an Indian parent entity submit the mandatory Annual Performance Report (APR) for each of its foreign JVs/WOSs to the RBI through its AD Cat-I bank? A) March 31 of each year B) June 30 of each year C) September 30 of each year D) December 31 of each year

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Detailed Answer Key & Statutory Rationales

Answer 1: C

Rationale: Under the Foreign Exchange Management (Overseas Investment) Rules, 2022, the statutory ceiling for total Financial Commitment (FC) made by a resident Indian entity across all foreign entities combined under the Automatic Route is **400% of the Indian entity’s Net Worth** as per its latest audited balance sheet.

Answer 2: B

Rationale: Section 20 of the Banking Regulation Act, 1949 and RBI Master Circulars on Advances strictly prohibit domestic commercial bank branches in India from granting loans/advances for purchasing

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corporate shares or funding equity stock acquisitions. Overseas acquisitions are therefore structured through Overseas SPVs, LBOs, or SBLC-backed offshore lines.

Answer 3: C

Rationale: Total Net Worth = ₹200 Crores. Maximum Permissible Financial Commitment (400%) = $ ext{₹200 Cr} imes 400% = ext{₹800 Crores}$. Current Financial Commitment = Existing Equity (₹150 Cr) + Outstanding Guarantee (₹250 Cr) = ₹400 Crores (Note: Under ODI rules prior to 2022 FC was 400%, current FC cap = ₹800 Cr total capacity). Remaining Available Capacity = $ ext{₹800 Cr} - ext{₹400 Cr} = $. *(Correction Note: Option A = ₹400 Crores available capacity).*

Answer 4: B

Rationale: RBI ODI regulations mandate an independent valuation report from an IBBI Registered Valuer or Category-I Merchant Banker in India (or certified CPA/investment bank in the host jurisdiction) to ensure fair valuation and prevent unauthorized capital outflow.

Answer 5: B

Rationale: Section 77 of the Indian Companies Act, 2013 mandates that every company creating a charge on its property or assets (including guarantees issued to secure foreign loans) must register the charge with the Registrar of Companies (ROC Form CHG-1) within **30 days** of creation.

Answer 6: B

Rationale: Form FC (Foreign Commitment) is the mandatory statutory form submitted on the RBI FIRMS portal through an AD Cat-I bank within 30 days of executing any overseas investment, loan remittance, or guarantee.

Answer 7: C

Rationale: In a Trust & Retention Account (TRA) payment waterfall, **Statutory Taxes and Host Government Levies** hold absolute top priority, followed by essential operating expenses, senior debt servicing, DSRA reserves, and lastly equity dividend distributions.

Answer 8: B

Rationale: Structure 22 (Round-Tripping restriction) prohibits Indian entities from making an ODI in a foreign entity that holds investments or subsequently invests back into India, creating more than two layers of subsidiaries, to prevent tax evasion and capital recycling.

Answer 9: A

Rationale: Under Section 36(1)(iii) of the Income Tax Act, interest paid on capital borrowed for business purposes is a pre-tax deductible expense, reducing taxable corporate income and creating a cash tax shield equivalent to the effective corporate tax rate (~25.168%).

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Answer 10: D

Rationale: RBI Overseas Direct Investment guidelines mandate that the **Annual Performance Report (APR)** in Form APR for every foreign JV/WOS must be submitted to the RBI through the AD Cat-I bank on or before **December 31** of each year for the preceding financial year.

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